



BEFORE

Until the late 1970s, China's communist leaders rejected a free market economy (in which production is controlled by the laws of supply and demand rather than the state) as against their socialist principles.

CHINA'S ECONOMY UNDER MAO

Under China's first communist leader, Mao Zedong << 424–25, free enterprise was banned and peasants could not own their own land.

1,008 MILLION The size of China's population in 1982. It was about 540 million when the Communists took power in 1949.

LOW OUTPUT

When Mao died in 1976, China had roughly the same economic output as Canada, a country with a much smaller population of 23 million.

DENG XIAOPING

A member of the Chinese Communist Party from the 1920s, Deng Xiaoping (1904–97) took part in the Long March and the foundation of the Chinese People's Republic << 424–25. By 1957 he was secretary-general of the Party, but

during the Cultural Revolution he was subjected to public humiliation and sent to work in a factory. He later triumphed in the power struggle after Mao's death to lead the Communist Party and masterminded the growth of China's economy in the 1980s.



DENG XIAOPING

Within three years of Mao Zedong's death in 1976, China's communist government began to turn away from the economic policies based on collective ownership and centralized planning that had previously been believed essential to any communist system. Deng Xiaoping advocated economic growth as the supreme goal—to be achieved at any cost.

Special economic zones

A raft of measures in 1979 put the country on its new path. Four Special Economic Zones (SEZs) were established at the southern Chinese ports of Zhuhai, Shantou, and Xiamen, and foreign firms were invited to invest capital on favorable terms. Western capitalist businesses were given the opportunity to exploit cheap Chinese labor, while in return China gained foreign exchange with which to buy imported goods and was given access to new technology from the West. At the same time, in rural areas, where 80 percent of the population lived, families were encouraged to cultivate their own land for profit. When challenged by those who objected to capitalist free-market economics, Deng defended his new policies as a practical path to

Superpower China

By embracing the free market, from the 1980s China achieved extraordinarily rapid economic growth and underwent a major social transformation. But politically the country remained under the strictly authoritarian rule of the Communist Party.

prosperity: “It does not matter whether a cat is black or white,” he stated, “as long as it catches mice it is a good cat.” Many non-Chinese observers believed that economic freedom

would be linked to political freedom. But in 1989, when communist regimes were toppling in Europe (see pp.448–49), pro-democracy activists in China had their demands for reform brutally rejected. The 1989 massacre of demonstrators by the army in Beijing's Tiananmen Square (see p.425) was an unequivocal statement of the Chinese Communist Party's firm intention to keep its authoritarian grip on society.

Despite this political stance, there was no turning back from the economic reforms. Although proceeding in stages and strictly supervised by the state, the

transition to a free market economy gathered pace through the 1990s. So thorough was the transformation that in 1997 China was able to absorb

the British colony of Hong Kong, one of the major centers of global capitalism, without noticeably affecting the territory's business community. The success of the new policies in creating economic growth was huge—between 1979 and 2002 China's

real Gross Domestic Product grew at 9.3 percent per year, the fastest growth rate of any major country.

By the beginning of the new millennium a considerable part of the Chinese population had become part of a modern consumer society. It was said that under Mao people had wanted the “Four Musts”—a bicycle, a radio, a watch, and a

“Poverty is not socialism. To be rich is glorious.”

DENG XIAOPING, 1979

